INDEPENDENT EQUITY RESEARCH

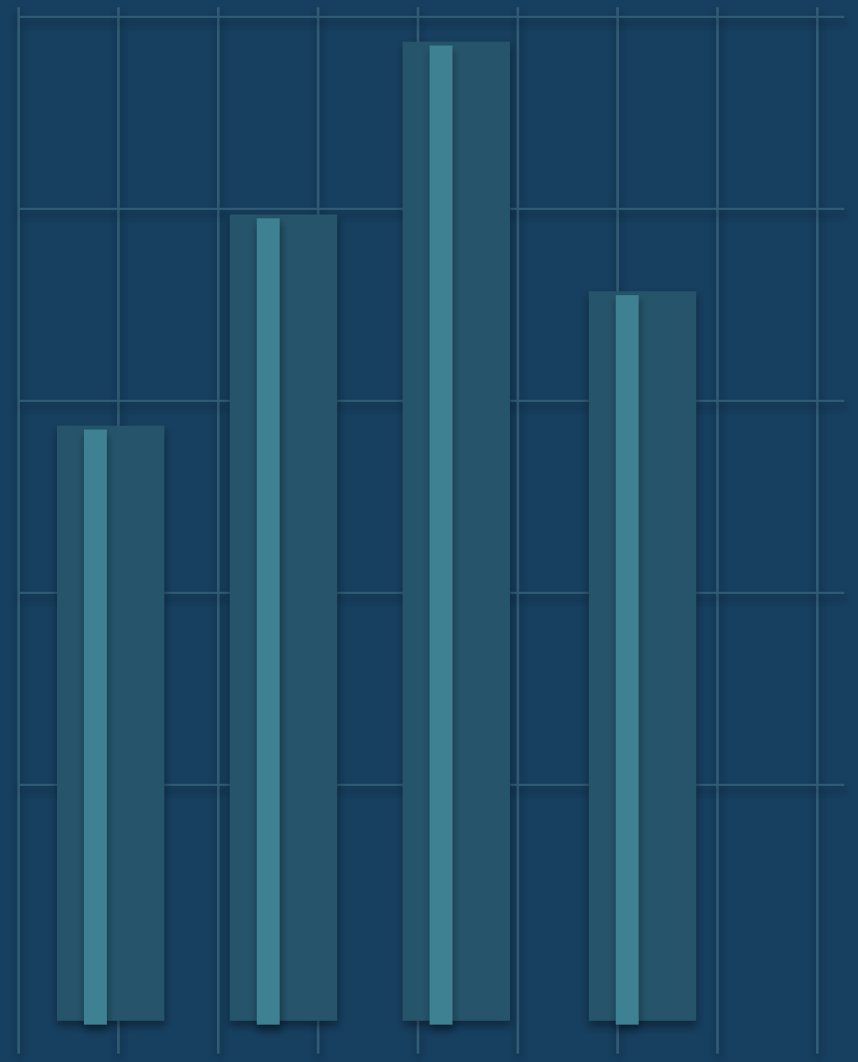
Royal Bank of Canada

BUSINESS QUALITY / CREDIT RISK / VALUATION

NYSE: RY • FY2025 actuals • FY2026–27 outlook

Aamir Sohaib

Research cut-off: 05 Nov 2026 • Stock reference close: 05 Nov 2026



The thesis | quality business, demanding price

Provisional stance: HOLD / WATCHLIST, based on an illustrative scenario model

16.3%
FY2025 ROE

13.5%
Q3 FY2026 CET1

C$20.37B
FY2025 NET INCOME

15.7×
FY2027E P/E*
At 05 Nov close, FX assumption

Why own it

Diversified fee businesses, scale advantages, strong capital and FY2025 ROE support an earnings-quality premium.

Why be selective

Credit stress, a high starting multiple, currency effects and a narrow modeled base-case upside constrain expected returns.

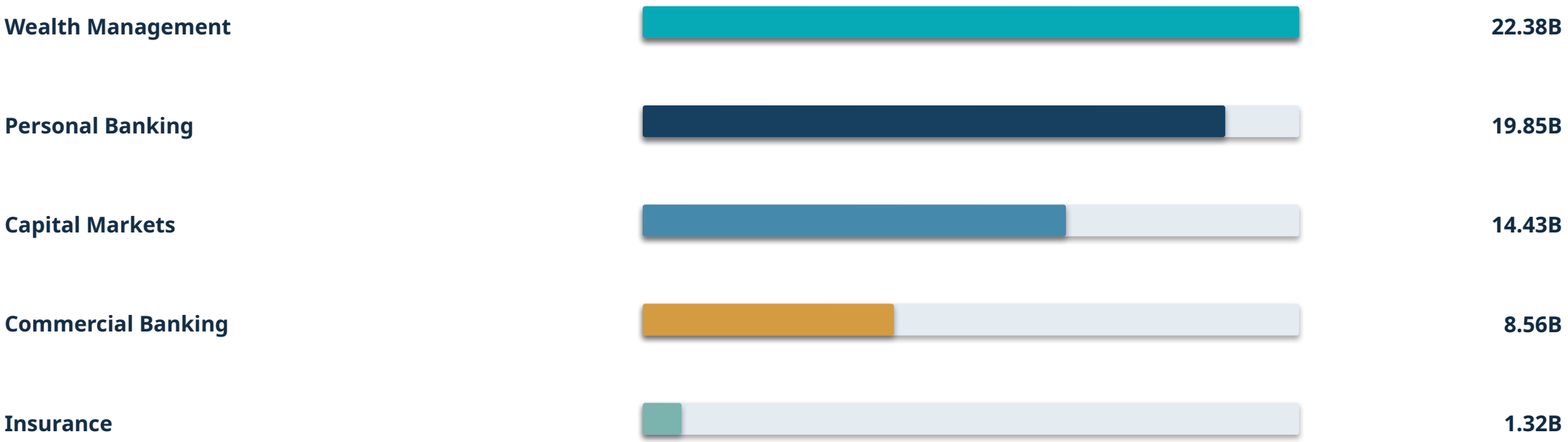
Watch for FY2026 results on 03 Dec 2026; reassess FY2027 EPS, credit costs and entry valuation.

* P/E = US$203.76 / (C$17.91 FY2027 consensus EPS × US$0.723/C$). FX assumption is illustrative.

Sources: RBC FY2025, Q3 FY2026; Yahoo Finance; model assumptions

RBC’s business model | diversified sources of revenue

FY2025 reported segment revenue; C$ billions

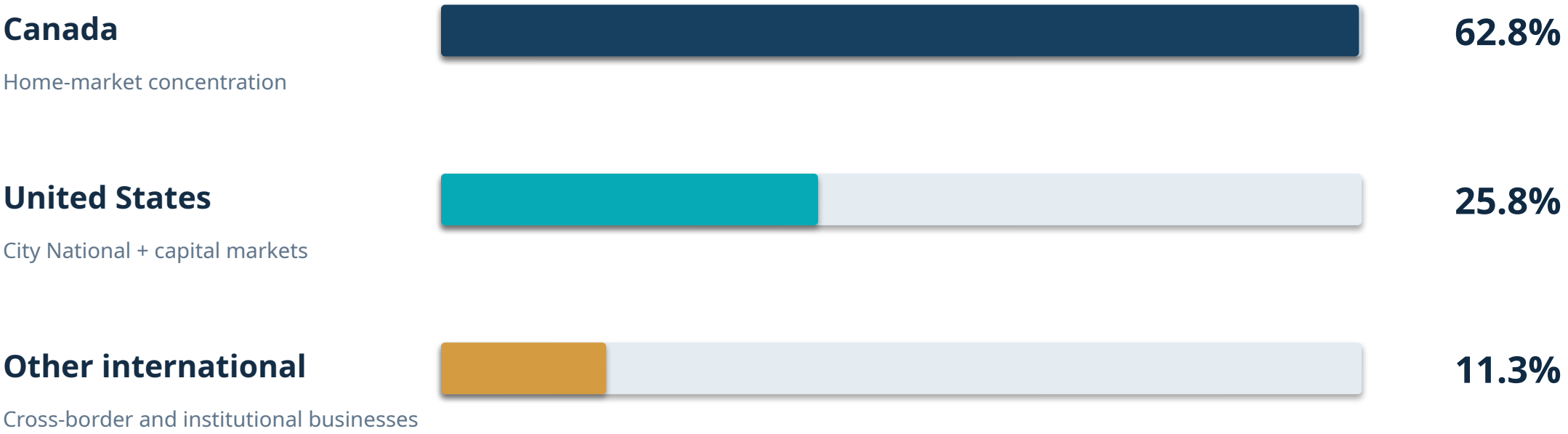


Corporate Support revenue: C$0.064B; five operating segments + Corporate Support reconcile to C$66.605B.

Source: RBC FY2025 Annual Report, Table 14

Canada anchors the franchise

FY2025 geographic revenue shares; borrower/client footprint differs from office locations



Interpretation: domestic concentration supports franchise density but increases sensitivity to Canadian credit and rates.

Source: RBC FY2025 Annual Report, geographic revenue table

FY2025 | profitability plus balance-sheet scale

CAD figures; fiscal year ended 31 October 2025

C$66.61B
REVENUE

C$20.37B
NET INCOME

C$2.33T
ASSETS

C$1.52T
DEPOSITS

C$14.07
DILUTED EPS

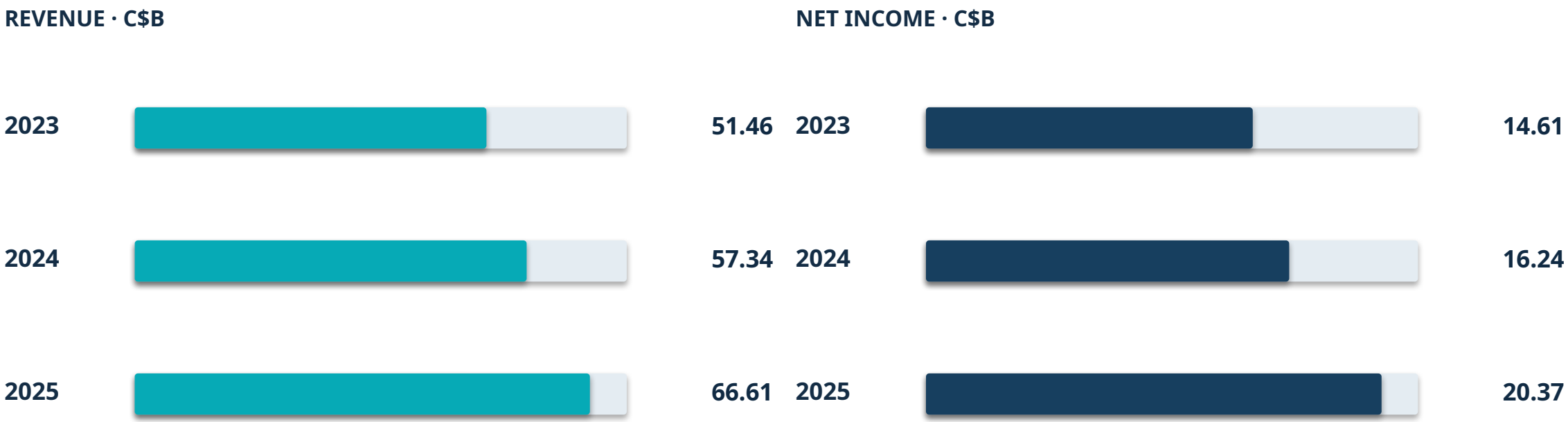
16.3%
ROE

Revenue grew 16.1% and reported net income grew 25.4% versus FY2024.

Source: RBC FY2025 Annual Report

Underlying earnings trajectory | FY2023–FY2025

Reported C$ amounts; FY2023 onward uses IFRS 17 comparable reporting basis



Avoid naïve FY2022 → FY2023 comparisons: the FY2023 insurance accounting basis changed under IFRS 17.

Source: RBC FY2025 Annual Report, selected annual data

What drove net income higher in FY2025?

A fully reconciled reported earnings bridge, C$ billions



C$16.24B + 9.26 revenue – 2.34 operating expense – 1.13 PCL – 1.66 tax = C$20.37B.

Source: RBC FY2025 Annual Report, Table 16

Profitability | stronger operating efficiency

Reported results; adjusted metrics are separately labeled

16.3%
FY2025 ROE
+190 bps vs. 2024

54.9%
EFFICIENCY RATIO
59.7% in 2024

C$20.87B
ADJUSTED NET INCOME
Reported: C$20.37B

Earnings quality

Profit growth exceeded revenue growth as efficiency improved; provisioning and taxes still absorbed a material part of incremental revenue.

Critical distinction

Adjusted earnings exclude specified non-GAAP items. Valuation calculations must consistently distinguish adjusted versus reported EPS.

Bank metrics to emphasize: ROE, efficiency, capital, PCL, impaired loans and forward P/E / P-B.

Source: RBC FY2025 Annual Report; FY2025 earnings release

Capital protects | credit quality requires monitoring

FY2025 annual credit measures vs FY2024; Q3 FY2026 is a separate reporting period

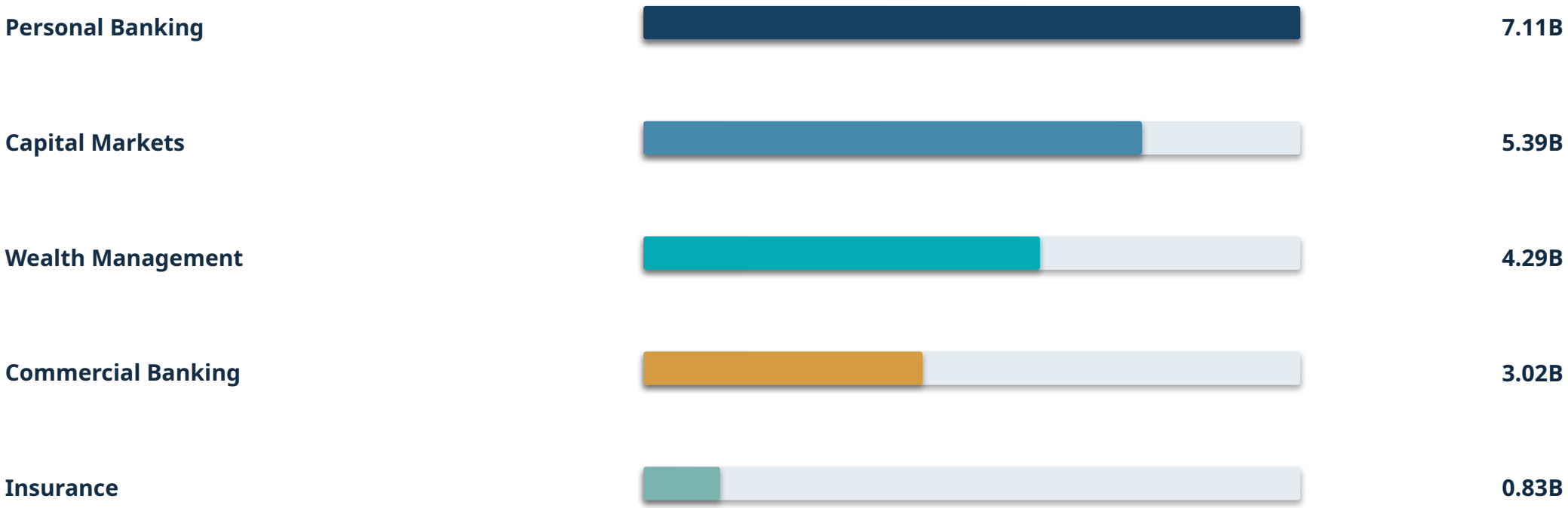
Gross impaired loan ratio	**0.83%**	FY24: 0.59%	**Worsened by 24 bps YoY**
PCL / avg. net loans	**0.43%**	FY24: 0.35%	**Credit costs increased 8 bps YoY**
CET1 ratio, Q3 FY2026	**13.5%**	Latest Q3	**Capital remains above requirements**
PCL / loans, Q3 FY2026	**36 bps**	Latest Q3	**Annualized quarterly ratio; not FY2025**

Rising impaired loans are a key counterweight to RBC's strong capital and earnings momentum.

Sources: RBC FY2025 Annual Report, Table 46; Q3 FY2026 results

Not all revenue converts equally into profit

FY2025 C$ net income by operating segment; reported basis



Corporate Support: –C$0.266B. Five segments plus Corporate Support = C$20.369B consolidated.

Source: RBC FY2025 Annual Report, Table 14

Capital return | dividend plus buybacks

FY2025 payouts; dividends reported in C$, not USD

C$6.04
DIVIDEND / SHARE

43%
DIVIDEND PAYOUT

15.24M
SHARES REPURCHASED

Capital return is supported by profitability, but must remain sensitive to credit costs and capital rules.

FY2025 reported combined common dividends and repurchases: C$11.3B; total payout ratio 57%.

Source: RBC FY2025 Annual Report

Peer lens | use comparisons carefully

Two Canadian peers and four international banks; stock performance uses NYSE USD listings

CANADA

BMO Bank of Montreal

CANADA

BNS Scotiabank

GLOBAL

BCS Barclays

GLOBAL

UBS UBS Group

GLOBAL

HSBC HSBC Holdings

GLOBAL

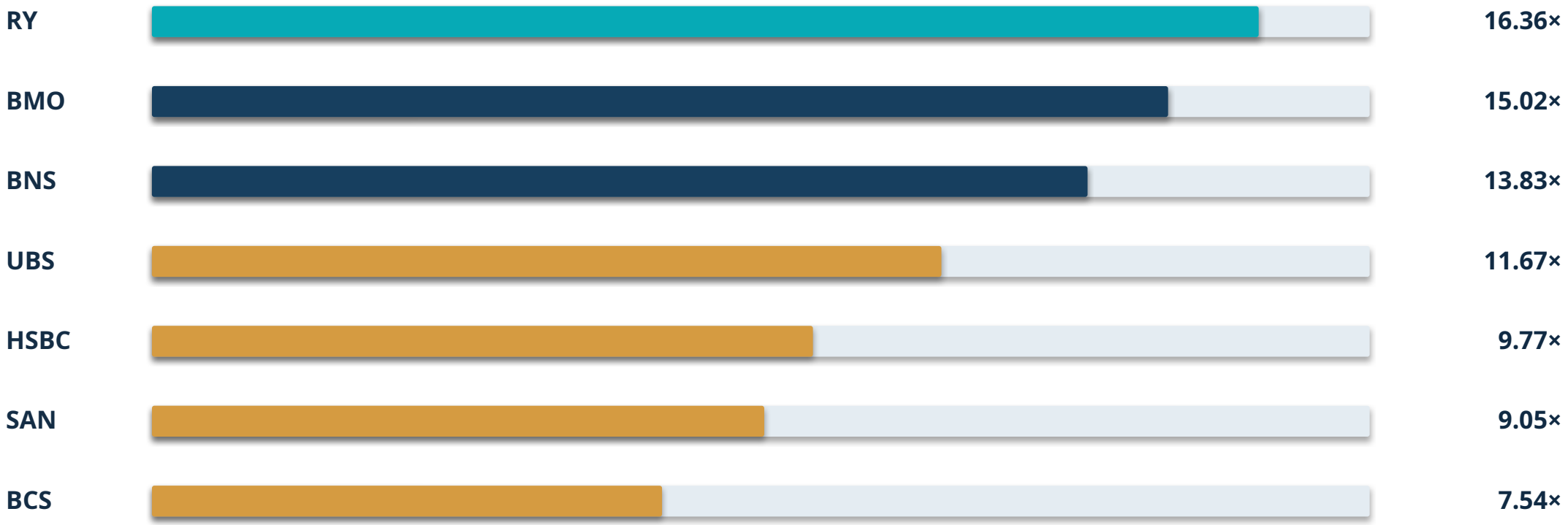
SAN Banco Santander

Warning: fiscal calendars, bank structures, revenue recognition and adjusted-vs-reported EPS can differ.

Sources: original slide deck, RBC + peer FY2025 filings

Relative valuation | RY commands a premium

Approximate public forward P/E figures (NYSE, 05 Nov 2026)



Premium is not automatically mispricing: relate multiple to ROE, stability, growth and credit risk.

Source: StockAnalysis ticker valuation pages; values can change intraday

Is the valuation premium justified?

Evidence supporting premium pricing, and the variables that could undermine it

Support for a premium

16.3% FY2025 ROE, 13.5% latest CET1, scale advantages, recurring wealth fees and earnings diversification.

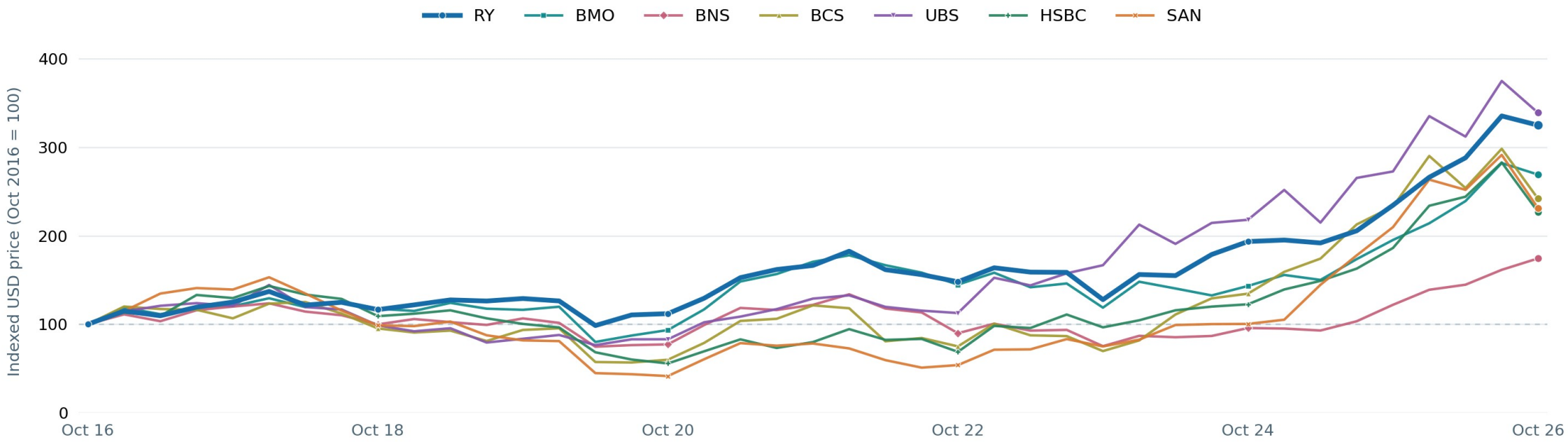
Reasons to apply a discount

FY2025 impaired loan ratio increased to 0.83%; Canadian geographic concentration and higher interest rates create sensitivity.

A multiple deserves support only if excess profitability survives the credit cycle.

10-year stock-price performance

NYSE USD prices; split-adjusted; dividends excluded; 31 Oct 2016–30 Oct 2026

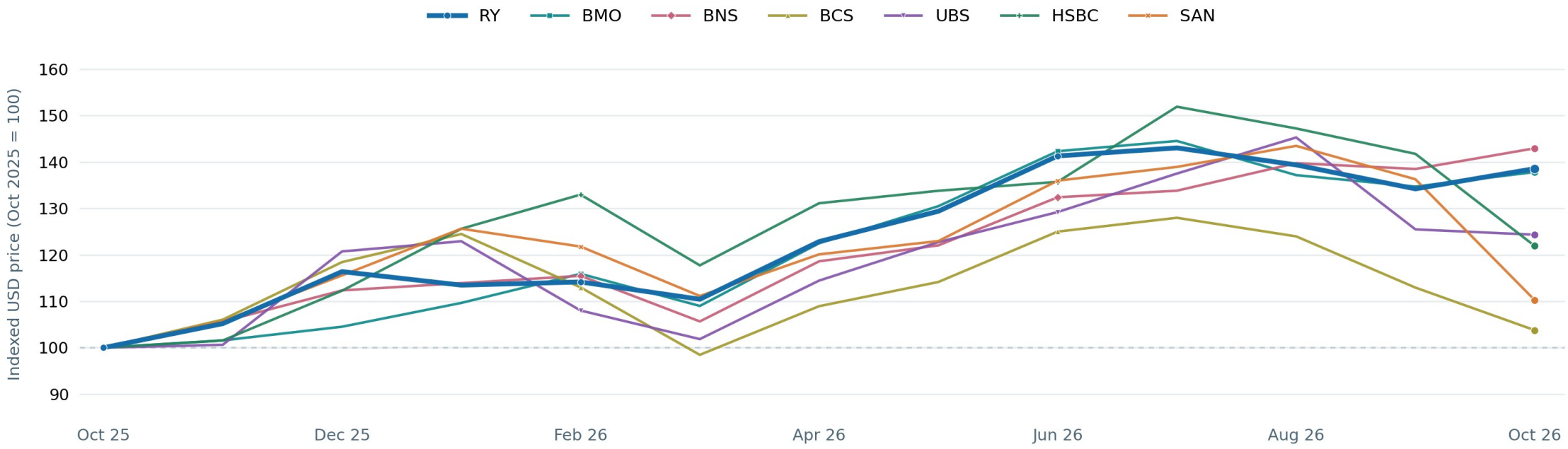


RY	**+224.9%**	**UBS**	**+238.9%**	**BMO**	**+169.1%**	**BNS**	**+74.4%**	**BCS**	**+141.9%**	**HSBC**	**+127.0%**	**SAN**	**+131.2%**

Source: Alpaca SIP stock bars, supplied source chart

1-year stock-price performance

NYSE USD prices; split-adjusted; dividends excluded; 31 Oct 2025–30 Oct 2026



RY	**+38.6%**	**BNS**	**+42.9%**	**BMO**	**+37.8%**	**UBS**	**+24.3%**	**HSBC**	**+21.9%**	**SAN**	**+10.2%**	**BCS**	**+3.8%**

Source: Alpaca SIP stock bars, supplied source chart

Diversification | bank shares remain positively correlated

Pearson correlation of 260 weekly split-adjusted USD log returns, Nov 2021–Oct 2026

	RY	BMO	BNS	BCS	UBS	HSBC	SAN
RY	1.00	0.77	0.76	0.60	0.57	0.45	0.48
BMO	0.77	1.00	0.73	0.58	0.58	0.45	0.48
BNS	0.76	0.73	1.00	0.53	0.50	0.41	0.41
BCS	0.60	0.58	0.53	1.00	0.70	0.67	0.69
UBS	0.57	0.58	0.50	0.70	1.00	0.57	0.65
HSBC	0.45	0.45	0.41	0.67	0.57	1.00	0.67
SAN	0.48	0.48	0.41	0.69	0.65	0.67	1.00

Portfolio implication

RY–BMO correlation is about 0.77. Pairing Canadian banks does not eliminate shared macroeconomic and credit exposure.

Relatively lower pair

RY–HSBC correlation is about 0.45 in this sample, but correlations change and cannot guarantee a hedge.

Source: Alpaca SIP; reproduced against source deck

Quarterly EPS | four consecutive beats

RY adjusted diluted EPS, C$; one consistent consensus data source

Q4 FY25

C$3.85

Actual adjusted EPS

C$3.55 consensus

+8.5% beat

Q1 FY26

C$4.08

Actual adjusted EPS

C$3.84 consensus

+6.2% beat

Q2 FY26

C$3.90

Actual adjusted EPS

C$3.79 consensus

+2.9% beat

Q3 FY26

C$4.28

Actual adjusted EPS

C$4.07 consensus

+5.2% beat

Surprise percentages are recalculated from rounded displayed actual/estimate amounts; vendor surprises may differ slightly.

Source: Yahoo Finance RY earnings-history table, accessed 05 Nov 2026

Consensus outlook | FY2026 and FY2027

C$ estimates, not yet reported results; as displayed 05 Nov 2026

REVENUE

66.61B	72.42B	76.44B
FY2025 actual	FY2026E	FY2027E

FY26E growth: +8.7% FY27E growth: +5.6%

ADJUSTED EPS

14.43	16.42	17.91
FY2025 actual	FY2026E	FY2027E

FY26E growth: +13.8% FY27E growth: +9.1%

Sources: Yahoo Finance RY analysis; RBC FY2025 Annual Report

Governance and management | continuity matters

Biographies as of Nov 2026; no third-party executive portraits reused

Jacynthe Côté

Independent Board Chair

Director since 2014; chair since Apr 2023

David McKay

President & Chief Executive Officer

CEO since Aug 2014

Katherine Gibson

Chief Financial Officer

CFO since Sep 2024

What to monitor: succession planning, capital allocation discipline, credit controls and execution on the HSBC Canada integration.

Sources: RBC leadership page; RBC 2026 Proxy Circular

Catalysts and risks | a balanced forward view

Management disclosures through Q3 FY2026 and Bank of Canada decision of 28 Oct 2026

Tailwinds

Wealth-management fees and capital-markets activity; Personal and Commercial Banking balance growth; HSBC Canada cross-sell; CET1 at 13.5%.

Headwinds

FY2025 impaired loans rose; Q3 FY2026 PCL was ~C$1.0B; a 2.50% policy rate can constrain borrower demand and credit performance.

Key asymmetry: stable credit costs support premium valuation; credit deterioration can compress both earnings and the P/E multiple.

Sources: RBC Q3 FY2026; Bank of Canada 28 Oct 2026

Illustrative 12-month valuation | scenario not a price target

FY2027 EPS assumptions × terminal P/E × illustrative USD/CAD factor

BEAR

US$172

-15.6% price return

C$17.00 EPS × 14.0× P/E

FX: US$0.723/C$

BASE

US$214

+4.9% price return

C$17.91 EPS × 16.5× P/E

FX: US$0.723/C$

BULL

US$261

+28.1% price return

C$19.00 EPS × 19.0× P/E

FX: US$0.723/C$

FY2027 consensus EPS is ~C$17.91; bear/bull EPS and all terminal multiples are author assumptions. No dividend, fees or FX changes in price return.

Stock benchmark US$203.76 (05 Nov close); USD/CAD conversion 0.723

Investment conclusion | HOLD / WATCHLIST

An independent analytical judgment, not personalized investment advice

High-quality bank ≠ attractive entry at every price

What I like	Durable franchise, diversified earnings, strong capital and improving FY2025 efficiency.
Why I would wait	The model's base case has limited price upside while credit and multiple risks remain meaningful.
What changes my mind	A lower entry multiple, upside to FY2027 EPS, or evidence of stabilizing impaired loans and PCL.

Next catalyst: fiscal FY2026 results — 03 Dec 2026.